

1- Assume that you are on the financial staff of Vanderheiden Inc., and you have collected the following data: The yield on the company's outstanding bonds is 8.80%, its tax rate is 25%, the next expected dividend is \$0.90 a share, the dividend is expected to grow at a constant rate of 6.00% a year, the price of the stock is \$18.00 per share, the flotation cost for selling new shares is $F = 10\%$, and the target capital structure is 65% debt and 35% common equity. What is the firm's WACC, assuming it must issue new stock to finance its capital budget?

2- Daves Inc. recently hired you as a consultant to estimate the company's WACC. You have obtained the following information. (1) The firm's noncallable bonds mature in 20 years, have a 12.00% annual coupon, a par value of \$1,000, and a market price of \$1,000. (2) The company's tax rate is 25%. (3) The risk-free rate is 5.00%, the market risk premium is 6.00%, and the stock's beta is 1.90. (4) The target capital structure consists of 35% debt and the balance is common equity. The firm uses the CAPM to estimate the cost of equity, and it does not expect to issue any new common stock. What is its WACC?

3- Eakins Inc.'s common stock currently sells for \$47.50 per share, the company expects to earn \$3.45 per share during the current year, its expected payout ratio is 60%, and its expected constant growth rate is 6.00%. New stock can be sold to the public at the current price, but a flotation cost of 8% would be incurred. By how much would the cost of new stock exceed the cost of retained earnings?

4- Vega Corporation is evaluating its weighted average cost of capital (WACC) for use in capital budgeting. The company is financed with both debt and equity. The CFO has provided the following information:

Cost of equity: 11.5%, Cost of debt (before tax): 6.5%, Corporate tax rate: 25%

The balance sheet shows: Total equity = \$60 million, Total debt = \$35 million, and Total preferred stock = \$5 million (price: \$20 and dividend of \$2)

The company plans to maintain its current capital structure, so its **target weights** are the **same as current market value weights**.

Calculate the company's WACC.

5- To help finance a major expansion, Castro Chemical Company sold a noncallable bond several years ago that now has 20 years to maturity. This bond has a 10.50% annual coupon, paid semiannually, sells at a price of \$675, and has a par value of \$1,000. If the firm's tax rate is 25%, what is the component cost of debt for use in the WACC calculation? Do not round your intermediate calculations.